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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

The Dog Days of Summer Are Over

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Last Week's S&P 500 Index: +2.8%

Key takeaways

- *Trading volumes should pick up now that summer has come to an end, but expect the volatility to continue.*
- *The negative risks to our outlook remain. Less cyclical equity portfolio risk appears to be the most prudent path for now.*

Labor Day has come and gone, so the kids are back in school and Wall Street trading desks are now back to being manned by senior-level personnel rather than less experienced juniors. As many in the U.S. enjoyed their summer vacations and virtually all of Europe took the entire month of August off, the normally sleepy and slow financial markets were anything but. We all know that unexpected news or economic data can drive the market far and wide, especially when summer volumes are low. But last month you can bet that many a senior trader spent time on the phone rather than (or maybe while) lying on the beach soaking up the summer sun.

It may not feel like it to many investors, but when taking into account all of the volatile days last month, the S&P 500 traded in a relatively narrow (100 point) range for the vast majority of August—largely between 2940 and 2840 on a closing basis. That represents a range of approximately 3.5%. Yes, that is certainly more volatile than a "normal" month, but it sure felt much worse. To most long-term investors, it just felt downright nerve-wracking, even if the index did close out August less than 3.3% away from the all-time record high set "way" back on July 26.

So the question is, where do we go from here? Note that September, on average, has posted the worst return (-0.5%) of any month, based on performance since January 1950. We can talk about the fundamentals within our modest-growth/modest-inflation outlook, but as can be the case much of the time, the market is paying a lot of attention to the negative things that might or could happen down the road. And right now there is no shortage of things to worry about. That is why we have made a determined effort to bring down the equity risk profile in portfolios over the last five months or so. Our efforts have been directed toward sticking with sectors that score higher on Quality attributes like return on equity, estimate dispersion, and liquidity and leverage. As the cycle ages and growth slows, narrowing exposure to those sectors where we have a higher degree of confidence seems prudent.

We also want to focus on some sectors that have more defensive profiles whose fortunes are not as tied to the ebb-and-flow of the economy. We are not calling for an end to this long economic expansion at this point, but we do believe the negative risks to our outlook have increased as trade tensions have jumped up a notch and growth in some of the major developed international economies, like Germany's, have slowed.

As a result, we now recommend a neutral weighing in Utilities, Consumer Staples, Health Care, and Real Estate. All of these sectors are considered primarily defensive as consumers tend to use their products and/or services whether the economy is good or bad. After all, you are likely to turn on the lights, buy laundry detergent, and go to the doctor no matter what the economy is doing. Plus, they may pay dividends in this low-rate environment. Having a neutral weighing in these defensive sectors may lower overall equity portfolio risk.

The dog days of summer may be over, but the risks that bothered markets in August remain.

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